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Background

On December 1, 2025, California Resources Corporation, California Resources Production Corporation, and California Resources Petroleum Corporation filed this action for recovery of charges pursuant to Public Resources Code § 3430. The First Amended Complaint, filed April 10, 2026, names Fiona Ma, in her official capacity as State Treasurer; California Department of Conservation, Geologic Energy Management Division ("CalGEM"), and Douglas Ito, in his official capacity as State Oil & Gas Supervisor, as Respondents and Defendants.

The FAC asserts causes of action for: (1) recovery of charges [Pub. Res. Code § 3430] asserted against all defendants and (2) violation of due process (U.S. Const. amend. XIV § 1; Cal. Const. Art. I § 7) asserted against CalGEM and Ito only. Plaintiffs allege CalGEM failed to allow Plaintiffs the opportunity to plug and abandon idle oil and gas wells, performed the work itself at exorbitant cost, and assessed charges to Plaintiffs for the P&A work CalGEM performed. Plaintiffs contend this violates the applicable statutes and failed to provide Plaintiffs with due process.

Demurrer

On May 26, 2026, Defendants filed the instant demurrer to the FAC. Defendants demur to the first cause of action based upon Plaintiffs' failure to include an accompanying petition for writ of mandate. Defendants demur to the second cause of action arguing a writ proceeding provides the requisite due process.

Opposition

In opposition, Plaintiffs argue there is no basis to require or construe this action as a writ proceeding and doing so would violate due process.

Reply

In reply, Defendants reiterate their contention that a writ proceeding is required.

Discussion

Standard

When ruling on a demurrer, the Court accepts the truth of all properly pleaded material facts of the subject pleading, (*Aubry v. Tri-City Hosp. Dist.* (1992) 2 Cal.4th 962, 966-967), and draws reasonable “inferences favorable to the plaintiff, not the defendant.” (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1239.) A “demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction of instruments pleaded, or facts impossible in law.” (*S. Shore Land Co. v. Petersen* (1964) 226 Cal.App.2d 725, 732.) Courts may also consider matters properly subject to judicial notice, (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318), but need not accept “contentions, deductions or conclusions of fact or law.” (*Daar v. Yellow Cab Co.* (1967) 67 Cal. 2d 695, 71.)

If

the demurrer is sustained, plaintiff must prove the possibility of cure by amendment. (*Czajkowski v. Haskell & White, LLP* (2012) 208 Cal.App.4th 166, 173 (citing *Grinzi v. San Diego Hospice Corp.* (2004) 120 Cal.App.4th 72, 78-79).)

The

State Treasurer is the Only Proper Party to the First Cause of Action

“Any person claiming and protesting that the assessment made or charges assessed against him are void, in whole or in part,

may bring an action against the State Treasurer for the recovery of the whole or any part of the charges, penalties, or costs paid on such assessment, upon the grounds stated in his protest." (Pub. Res. Code § 3430.)

The first cause of action pursuant to Public Resources Code section 3430 is brought against all named defendants. (FAC at 14:26-27.)

In their demurrer, Defendants contend "the crux of the First Cause of Action is a challenge to CalGEM's underlying administrative action in issuing the NOA. The appropriate vehicle for review of CalGEM's agency action is a section 1085 petition for writ of mandate." (Dem. at 12:5-8.) Defendants further argue "section 3430 authorizes a recovery action to be brought only against the Treasurer, not CalGEM, and a claim for declaratory relief cannot be used to review CalGEM's quasi-judicial agency action." (Id. at 12:12-14.) In opposition, Plaintiffs disclaim any request for declaratory relief. (Opp. at 8:21-9:13.) The parties also disagree as to whether CalGEM and Ito are proper parties to the first cause of action.

As argued by Defendants, Plaintiffs "cannot seek [] relief against CalGEM under Section 3430 because the statute does not contemplate any relief other than a refund from the State Treasurer." (Reply at 3:7-8.) Public Code section 3430, by its express terms, provides for a refund action only against the State Treasurer.

Plaintiffs' summary and unsupported contention that "nothing in that section prohibits CRC from also naming CalGEM and CalGEM would have undoubtedly intervened if CRC had only named the State Treasurer," (Opp. at 9:11-13), lacks merit and is contrary to the express and limited authority provided by Section 3430.

While there is no case authority specifically addressing Section 3430, as noted by Plaintiffs, the statute operates as a "pay-first-litigate-later statute." (Opp. at 8:5-13.) Pay-under-protest statutory provisions are generally considered the exclusive means of relief and lie only against the public entities identified in the statute. (See generally *County of Sacramento v. Assessment Appeals Bd. No. 2* (1973) 32 Cal.App.3d 654, 671 ("The exclusive means of review of tax proceedings in California has been the remedy of suit to recover alleged overpayments, and the power of the state to provide such suit as the exclusive remedy is unquestioned."); *William Jefferson & Co., Inc. v. Orange County Assessment Appeals Bd. No. 2*

(2014) 228 Cal.App.4th 1, 12 (holding tax refund action may only be brought against county or city that collected the tax, as provided by statute, not the local assessment appeals board).)

Plaintiffs' fail to state facts sufficient

to assert the first cause of action against CalGEM and Ito. The demurrer to the first cause of action under Section 3430 is SUSTAINED without leave to amend as to Defendants CalGEM and Ito.

An

Accompanying Petition for Writ of Mandate is not Required

Defendants' claim that Plaintiffs were

required to seek a writ related to CalGEM's actions is not supported by Public Resources Code section 3430, nor any parallel pay-under-protest statutory provisions. Public Resources Code section 3431 refers to the filing of a complaint, not a writ, and Public Resources Code section 3432(b) provides that "[t]he provisions of the Code of Civil Procedure relating to pleadings, proofs, trials, and appeals are applicable to these proceedings." The statute incorporates the Code of Civil Procedure, does not require writ relief, and does not explicitly impose any procedural limitations on the only two proper parties to the action: the payor plaintiff and the State Treasurer.

The Court agrees with Plaintiffs that Defendants'

reliance on general case authority surrounding writ relief does not "address any issue remotely relevant to what Section 3430 provides." (Opp. at 7:21.)

The statutory language mirrors other tax and

fee refund provisions and "[t]he 'pay first' rule also appears in numerous statutes." (Mojave Pistachios, LLC

v. Superior Court (2024) 99

Cal.App.5th 605, 626. Compare Pub. Res. Code § 3430 ("Any person claiming and protesting that the assessment made or charges assessed against him are void, in whole or in part, may bring an action against the State Treasurer . . .") with Cal. Const., art. XIII, § 32 ("After payment of a tax claimed to be illegal, an action may be maintained to recover the tax paid, with interest, in such manner as may be provided by the Legislature."); Rev. & Tax.

Code, § 5140 ("The person who paid the tax, his or her guardian or conservator, the executor of his or her will, or the administrator of his or her estate may

bring an action only in the superior court, but not in the small claims division of the superior court, against a county or a city to recover a tax . . ."); Wat. Code § 10726.6 ("Any person may pay a fee imposed pursuant to Section 10730, 10730.2, or 10730.4 under protest and bring an action against the governing body in the superior court to recover any money that the governing body refuses to refund.").)

Code of Civil Procedure section 1086 provides that a writ may issue "in all cases where there is not a plain, speedy, and adequate remedy, in the ordinary course of law."

Where, as here, there is statutory authority allowing an action for a refund, writ relief is unavailable. (See e.g. William Jefferson, *supra*, 228 Cal.App.4th at 11 ("Because a tax refund action provides property owners with an adequate remedy at law, equitable actions for mandamus, injunctive, and declaratory relief generally are unavailable to obtain judicial review of a local assessment appeals board decision."); Little v. Los Angeles County Assessment Appeals Bds. (2007) 155 Cal.App.4th 915, 923 ("a writ of mandamus only issues when there otherwise is no speedy and adequate remedy of at law. A suit for a refund of taxes paid is an adequate remedy."). (citations and quotations omitted); County of Sacramento v. Assessment Appeals Bd. No. 2 (1973) 32 Cal.App.3d 654, 672 ("A writ of mandamus or a writ of prohibition only issues when there otherwise is no speedy and adequate remedy at law. . . . allowing the taxpayer to pay the disputed tax under protest and to sue for refund, is such an adequate remedy and mandate is denied. . . . Where the procedure for testing the validity of the assessment and the tax levied pursuant thereto is applicable, through a payment under protest and suit for refund, there is no right to employ administrative mandamus, under Code of Civil Procedure section 1094.5.").)

The demurrer to the first cause of action is OVERRULED as to the State Treasurer, who is the only proper party to the refund cause of action under Public Resources Code section 3430.

This Action Provides Plaintiffs the Requisite Due Process

The second cause of action is alleged in the alternative and appears to relate solely to the contention that Defendants'

purported writ requirement would deny Plaintiffs' due process: "[i]f the Court agrees with Defendants' interpretation of Section 3237, including that any challenge should be treated similarly to a writ action in which Plaintiffs are not entitled to discovery, then Plaintiffs will be left with no remedy at law by which to challenge the Charges, thereby violating Plaintiffs' substantive and procedural due process rights." (FAC ¶ 71. See also FAC ¶ 81 ("If the Court concludes that Defendants' interpretation of Section 3237 is correct, Plaintiffs alternatively plead that CalGEM's application of Section 3237 as to Plaintiffs violates their substantive and procedural due process rights under the United States Constitution and California Constitution."); Opp. at 11:16-17 ("In seeking to avoid their discovery obligations and hide behind a writ action, Defendants are running squarely into a due process violation and inviting further error.").)

Because Public Resources Code section 3430 permits an action for postpayment refund, there are no due process concerns. (See e.g. *Mojave Pistachios, LLC v. Superior Court* (2024) 99 Cal.App.5th 605, 631 ("There is no due process concern from imposing the 'pay first' rule because water extractors have an adequate remedy at law in the form of a postpayment refund procedure."); *Howard Jarvis Taxpayers Assn. v. Coachella Valley Water Dist.* (2025) 108 Cal.App.5th 485, 518 ("if a state both prohibits predeprivation tax relief and denies a meaningful opportunity to secure postpayment relief, then the state violates the due process clause of the United States Constitution.").) "The provisions of the Code of Civil Procedure relating to pleadings, proofs, trials, and appeals are applicable to these proceedings." (Pub. Res. Code § 3432(b).)

The demurrer to the second cause of action, plead in the alternative, is SUSTAINED without leave to amend.

Plaintiffs' action shall proceed as a refund action pursuant to Public Resources Code section 3430 against the State Treasurer, absent a showing from Plaintiffs that they seek some other relief that is procedurally proper against CalGEM or Ito.

Conclusion

Respondents

and Defendants' Demurrer to Petitioners and Plaintiffs' First Amended Verified Complaint is SUSTAINED in part and OVERRULED in part.

The

demurrer is OVERRULED as to the first cause of action against Fiona Ma, in her official capacity as State Treasurer.

The demurrer is SUSTAINED without leave to

amend as to the first cause of action against CalGEM and Douglas Ito, in his official capacity as State Oil & Gas Supervisor.

The demurrer is SUSTAINED without leave to

amend as to the second cause of action.

Counsel for Defendants to give notice.